

23TRCV02863 23TRCV02863

County: los-angeles

Division: Civil Law and Motion

Department: M

Hearing date: 2026-09-01

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Case Number: 23TRCV02863 Hearing Date: September 1, 2026 Dept: M

LOS ANGELES SUPERIOR COURT –
SOUTHWEST DISTRICT

Honorable Amy N. Carter Tuesday, September 1, 2026

Department M Calendar No.

PROCEEDINGS

Creditors Adjustment Bureau, Inc. v. Amity
In-Home Care Services, Inc., et al.

23TRCV02863

1. Nancy B. Reyes, Amity In-Home Care Services, Inc., and
Amity Care Services, Inc.'s Motion to Set Aside Entry of Default and Any
Default Judgment

T'ENTATIVE RULING

Nancy B. Reyes, Amity In-Home Care
Services, Inc., and Amity Care Services, Inc.'s Motion to Set Aside Entry of
Default and Any Default Judgment is denied.

Background

Plaintiff filed the Complaint on August 30, 2023. This
is a collections action for an amount due of \$122,892.12. Defendants' default

was entered on August 19, 2025.

Motion to Set Aside Default

CCP § 473(b) states, in relevant part: "The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . . . Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect. The court shall, whenever relief is granted based on an attorney's affidavit of fault, direct the attorney to pay reasonable compensatory legal fees and costs to opposing counsel or parties. . . ."

Code Civ. Proc., § 473(c)(1) states:

"Whenever the court grants relief from a default, default judgment, or dismissal based on any of the provisions of this section, the court may do any of the following:

(A) Impose a penalty of no greater than one thousand dollars (\$1,000) upon an offending attorney or party.

(B) Direct that an offending attorney pay an amount no greater than one thousand dollars (\$1,000) to the State Bar Client Security Fund.

(C) Grant other relief as is appropriate."

CCP § 473.5(a) states, in relevant part: “When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered.”

CCP § 473.5(b) states: “A notice of motion to set aside a default or default judgment and for leave to defend the action shall designate as the time for making the motion a date prescribed by subdivision (b) of Section 1005, and it shall be accompanied by an affidavit showing under oath that the party’s lack of actual notice in time to defend the action was not caused by his or her avoidance of service or inexcusable neglect. The party shall serve and file with the notice a copy of the answer, motion, or other pleading proposed to be filed in the action.” The phrase “actual notice” means “genuine knowledge of the party litigant” and does not include constructive or imputed notice to the client. *Tunis v. Barrow* (1986) 184 Cal.App.3d 1069, 1077.

“After six months from entry of default, a trial court may still vacate a default on equitable grounds even if statutory relief is unavailable. . . . One ground for equitable relief is extrinsic mistake—a term broadly applied when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits. Extrinsic mistake is found when [among other things] ... a mistake led a court to do what it never intended[.] When a default judgment has been obtained, equitable relief may be given only in exceptional circumstances. [W]hen relief under section 473 is available, there is a strong public policy in favor of granting relief and allowing the requesting party his or her day in court. Beyond this period there is a strong public policy in favor of the finality of judgments and only in exceptional circumstances should relief be granted. . . . To set aside a judgment based upon extrinsic mistake one must satisfy three elements. First, the defaulted party must demonstrate that it has a meritorious case. Second[], the party seeking to set aside the default must articulate a satisfactory excuse for not presenting a defense to the original action. Last[], the moving party must demonstrate diligence in seeking to set aside the default once ... discovered.”

Rappleyea v. Campbell (1994) 8 Cal.4th 975, 981–82 (internal citations and quotations omitted; emphasis in original).

CCP § 473(d) empowers the Court to set aside any judgment that is void as a matter of law, e.g., lack of subject matter jurisdiction; lack of personal jurisdiction; lack of proper service of the summons and complaint; or the judgment violated due process rights. See

Dhawan v. Biring (2015) 241 Cal.App.4th 963, 973-74; See also Ellard v. Conway (2001) 94 Cal.App.4th 540, 544; See also Heidary v. Yadollahi (2002) 99

Cal.App.4th 857, 862-64. “It is well

settled that a judgment or order which is void on its face, and which requires only an inspection of the judgment roll or record to show its invalidity, may be set aside on motion, at any time after its entry, by the court which rendered the judgment or made the order.”

Hiroko Kawakita Hayashi v. Lorenz (1954) 42 Cal.2d 848, 851.

“Code of Civil Procedure section 473, subdivision (d) (hereafter section 473(d)), provides in relevant part that a court “may ... on motion of either party after notice to the other party, set aside any void judgment or order.”

Under this provision, a party may move to vacate a judgment on the ground of improper service of process.” California Capital Insurance Company v. Hoehn (2024) 17 Cal.5th 207, 212.

“Mistake is not a ground for relief under section 473, subdivision (b), when the court finds that the ‘mistake’ is simply the result of professional incompetence, general ignorance of the law, or unjustifiable negligence in discovering the law.

Further, the term surprise, as used in section 473, refers to some condition or situation in which a party is unexpectedly placed to his injury, without any default or negligence of his own, which ordinary prudence could not have guarded against. Finally, as for inadvertence or neglect, to warrant relief under section 473 a litigant's neglect must have been such as might have been the act of a reasonably prudent person under the same circumstances. The inadvertence contemplated by the statute does not mean mere inadvertence in the abstract. If it is wholly inexcusable it does not justify relief. It is the duty of every party desiring to resist an action or to participate in a judicial proceeding to take timely and adequate steps to retain counsel or to act in his own person to avoid an undesirable judgment. Unless in arranging for his defense he shows that he has exercised such reasonable diligence as a man of ordinary prudence usually bestows upon important business his motion for relief under section 473

will be denied. Courts neither act as guardians for incompetent parties nor for those who are grossly careless of their own affairs. The only occasion for the application of section 473 is where a party is unexpectedly placed in a situation to his injury without fault or negligence of his own and against which ordinary prudence could not have guarded.” Hearn v. Howard (2009) 177 Cal.App.4th 1193, 1206 (internal citations and quotations omitted).

Defendants move to set aside the default judgment pursuant to CCP § 473(b). Defendants state as follows: Defendants “move for an order setting aside the entry of default entered on August 19, 2025 and any default Judgment entered against Defendants. The motion will be made on the grounds that the judgment actually serves an injustice to Defendants.” (Notice of Motion, p. 2, lines 3-6).

The motion is supported by a declaration from Defendant Nancy Reyes. The pertinent portion of the declaration relates the facts concerning Defendants’ former counsel’s death, subsequent motion to be relieved as counsel, and Defendants’ Answer being stricken by the Court. “On June 23, 2025, the office of Peacock & Le Beau filed a motion to be relieved as counsel as Mr. Le Beau unexpectedly passed away in March 2025. On July 16, 2025, the motion to be relieved as counsel was granted. Since then I was actively looking for an attorney to represent me and the Amity defendants. On August 19, 2025, the court ordered our answer to be stricken and defaults entered as I had not yet secured counsel. I thereafter retained Paul Carter as our attorney. I worked as rapidly as I could to obtain new defense counsel, but t (sic) was difficult to select new counsel capable of handling this matter.” (Decl., Nancy Reyes, ¶¶ 3-7).

The motion is also supported by a declaration from Defendants’ counsel. The declaration states in relevant part:

“On June 23, 2025, the office of Peacock & Le Beau filed a motion to be relieved as counsel as Mr. Le Beau unexpectedly passed away in March 2025. On July 16, 2025, the motion to be relieved as counsel was granted. Thereafter, Defendant Nancy Reyes was actively looking for an attorney to represent all three Defendants. On August 19, 2025, the court ordered the answers to be stricken and defaults entered. The defaults were entered because Defendants’ counsel was killed in a boat accident. Defendants actually sought new counsel. I was retained to represent the Defendants and appeared at the

October 16, 2025 Case Management Conference. At that conference, I mistakenly believed that the defaults were set aside as I was and is fully prepared to represent all Defendants. In preparing for the February 4, 2026 Case Management Conference, I reviewed the Court's October 16, 2025 Minute Order and discovered that the Minute Order does not state the defaults were set aside. I then contacted plaintiff's counsel who refused to stipulate to set the defaults aside." (Decl., Paul J. Carter, ¶¶ 3-7).

Defendants have submitted no facts to show that the default was entered due to the mistake, excusable neglect, surprise, or inadvertence of Defendants and/or Defendants' counsel. Defendants' declaration demonstrates inexcusable neglect. Defendants admit being served with the motion to be relieved as counsel on June 23, 2025. Thus, Defendants should have been aware of the need to retain new counsel beginning on the date that the motion was received by them, not on July 16, 2025 when the motion was granted. Further, the Answer was stricken not because Defendants had not retained new counsel but because Defendants failed to appear for the OSC on August 19, 2025. There are no facts demonstrating why Defendants failed to appear for the OSC of August 19, 2025. It is certainly likely that, had Defendants appeared and explained that they are still attempting to obtain counsel, rather than striking the Answer, another OSC would have been set.

Defendants' counsel's declaration is of no consequence since he simply recites facts that occurred after the default had already been entered. Defendants' counsel was not retained until after the default was entered. Thus, the only facts relayed by him would be relevant for purposes of determining whether Defendants were diligent in moving to set aside the default, and not how and why the default was entered. The Court does note however that Defendants' counsel's statement that the default was entered because former counsel was killed in a boating accident is incorrect. The default was entered due to Defendants' failure to appear at the OSC on August 19, 2025.

Therefore, Defendants' Motion to Set Aside Entry of Default and Any Default Judgment is denied.

Plaintiff is ordered to give notice of this ruling.